THE WHOLE PLAN IN ONE PICTURE

Nothing has to be given away

EVERYTHING YOUR PARENTS OWN TODAY

1 It is already exempt

The homestead counts for nothing - at ANY value - as long as a spouse lives there. So does one car, at any value, plus household goods. For most families this is the largest piece of the estate, and it never had to be protected. It already is.

2 It is protected for the spouse who stays home

Only ONE spouse applies. The other becomes the "community spouse" and keeps HALF of the couple's countable savings (at least $32,532, at most $162,660) plus up to $4,066.50 a month of income. That protection exists only while there is a spouse at home - which is why they never both apply at once.

3 It gets turned into care

Money spent making the house work for them - ramps, a roll-in shower, wider doors, a ground-floor suite, lifts - is unlimited, has no waiting period, and Texas blesses it by name. Cash becomes care AND stays in an asset that is exempt for life.

4 It gets turned into income

Retirement savings above the protected amount can be converted into a properly structured annuity paying the spouse at home a monthly income for life. Done right there is no penalty. Done wrong the whole purchase is penalized - attorney work.

5 It moves early, and legally

Assets placed in an irrevocable trust are outside the test once five years have passed - so the clock is worth starting now. And because the caregiver is their DAUGHTER, the house itself can pass to her penalty-free after two years of live-in care. See page 3.

Only what is left after all five is what Medicaid ever looks at.

For most families that remainder is small - and it is spent on their own care, not forfeited.

One spouse applies. Never both.

Everything else in this plan is optional. This one is not. Texas protects the spouse who stays at home - but that protection exists only while there IS a spouse at home. The day the second one applies, it vanishes and the couple is measured together against $3,000.

IF BOTH APPLY

They are budgeted as a couple

Everything above this line must be spent down first.

The house is still exempt while they live in it - but the savings, the land and the retirement accounts are all on the table.

$3,000

total, between the two of them

IF ONLY ONE APPLIES

The other is the "community spouse"

no ceiling on the home

The homestead	**ANY value**
One car	**any value**
Income kept	**up to $4,066.50/mo**
Savings kept	**half: $32,532 to $162,660**

Same couple. Same assets. The only difference is how many applications get filed.

The needier parent applies. The other may apply years later, or never at all.

MEPD Appendix XXXI (rev. June 1, 2026); F-3600; J-2200; J-4400. The $752,000 home equity cap does not apply while a spouse lives there.

The house can pass to her, penalty-free

Texas penalizes almost every transfer made within five years of applying - at $262.37 for each day of ineligibility. There is one exception written for exactly this situation, and it is available to a son or daughter and to nobody else. A niece, a nephew, a friend, a paid aide: none of them can use it.

THE CAREGIVER CHILD EXCEPTION

A son or daughter who lived in the parent's home for at least two years before the parent moved to a nursing facility - and whose care is what kept the parent out of one - may receive the home itself with NO penalty. Not a reduced penalty. None.

The three things that have to be true

1. **She lives there**

   Two full years, in the home, as her residence. The clock starts the day she moves in - not the day someone thinks to write it down.

2. **Her care is what keeps them home**

   Documented, month by month: what she does, how often, and what would have happened without her. A doctor's letter saying the parent would otherwise need facility care is the most valuable page in the file.

3. **A nursing facility admission happens**

   The exception is written around the parent entering a facility. This is the piece most families do not plan for - and it is also the piece that solves a different problem entirely. See below.

THE TWO PIECES FIT TOGETHER

The waiting list for the good Medicaid program is about 15,850 people deep. Families skip it with a planned nursing facility stay of about 30 days followed by a "Money Follows the Person" transition back home. That same admission is the institutionalization event the caregiver child exception needs.

So one hospital discharge, handled correctly, can do both jobs at once: it moves a parent onto the waiver without the wait, and - if the two years are already banked and documented - it opens the door for the house to transfer to their daughter free of penalty. Sequencing this is exactly what the attorney is for.

MEPD I-3100 (caregiver child exception); I-5100 (penalty divisor $262.37/day); Money Follows the Person, HHSC.

THE HONEST ANSWER

Is a trust or annuity even needed?

No. They are two of five ways to handle one specific slice of money - and there is a sixth choice, which is not to use Medicaid at all. Start by adding up the countable assets: everything EXCEPT the homestead, one car, household goods and prepaid funerals.

Under about $34,500

One spouse qualifies as things stand today. The spouse at home keeps the $32,532 floor, the applicant keeps $2,000. No trust. No annuity. Nothing to restructure.

$34,500 to about $325,000

The spouse at home keeps HALF. The other half has to be spent or converted before the applying spouse is under $2,000. That half is the only money the tools below exist for.

Over about $325,000

The spouse at home keeps the $162,660 cap. Everything above it must be spent or converted - or the family decides Medicaid is not worth chasing (see below).

Five ways to handle the applicant's half - trust and annuity are only two of them

1. **Spend it on exempt things**
   Remodel the homestead for accessibility, prepay both funerals, pay off the mortgage, replace the car. No penalty, no waiting, and the value stays in the family.
2. **List the land for sale**
   Real property genuinely on the market is exempt until it sells. No time limit.
3. **Pay their daughter - carefully**
   A written agreement for hands-on personal care and her documented lost wages. Texas gives no credit for cooking, cleaning or driving.
4. **Annuity**
   Turns cash into monthly income for the spouse at home. Works immediately. Attorney only - a flawed one penalizes the whole purchase.
5. **Irrevocable trust**
   Removes assets from the test - but only five years after funding. The slowest tool, so the earliest one to start.

OR SKIP MEDICAID - what they get today, with no asset test at all

Medicare home health (nursing, therapy, an aide while skilled care is active) at $0. The Area Agency on Aging caregiver program for their daughter: training, counseling, respite vouchers. Home-delivered meals. The over-65 property tax exemptions, ceiling and deferral. A federal medical-expense deduction for caregiver wages paid under a doctor's plan of care. And the deed plus the caregiver child exception still protect the house whatever they decide.

One thing to weigh: for a large estate, Medicaid is mostly a loan. Texas recovers what it paid from the probate estate after the second death. A family that can afford to pay their daughter directly may simply be better off doing so.

MEPD J-4400 (SPRA = one-half of combined countable resources, min $32,532, max $162,660); F-3130; F-7230; F-6500; I-4140; 1 TAC 373.

The clocks that are already running

Two of these tools only work if time has already passed. That makes this month, not next year, the moment that matters.

THIS MONTH

Elder law attorney engaged. Full asset inventory. Decide trust vs annuity. Record the deed on the homestead. Put both names on the waiting list - it is free and the date holds their place. Sign powers of attorney while both are clearly competent.

MONTHS 1-3

Fund the trust. Start the accessibility remodeling. Buy the prepaid funerals. Daughter and her husband move in - and the two-year caregiver clock starts. Begin documenting care from day one.

YEAR 2

The caregiver child clock is satisfied. From here, a nursing facility admission can carry the house to her without penalty.

YEAR 5

The trust clock is satisfied. Everything in it is now invisible to Medicaid, permanently.

WHEN CARE NEEDS SPIKE

The needier parent applies. The annuity absorbs whatever countable savings are left. If a hospital stay happens, ask for a Medicaid nursing facility stay with a Money Follows the Person transition home - that skips the waiting list.

AFTER APPROVAL

Consumer Directed Services chosen; daughter and her husband hired as the paid attendants. Because they live in the home, that pay carries no federal income tax.

The one thing that undoes all of it

Do not gift money, add anyone to a deed, or move assets to family outside these structures. Any of it inside five years creates a penalty at $262.37 per day - and unlike everything above, that damage cannot be undone.

WHAT THEIR DAUGHTER EARNS

Paid now, and paid tax-free later

There are two phases, and the money is real in both. What changes between them is who pays and how it is taxed.

PHASE 1 - PRIVATE PAY

From their parents, starting now

RATE
Fair market, by written agreement

TAXED?
Yes - fully taxable to her

WHO PAYS
Her parents, from savings

HOURS
Whatever the family agrees

WHY DO IT
It is also the spend-down - money leaves the countable pile and stays in the family

CAREFUL
Texas credits only hands-on personal care and documented lost wages - not cooking, cleaning or driving

PHASE 2 - MEDICAID PAYS

Once a parent is approved

RATE
$13.00 to $15.90 per hour

TAXED?
NO federal income tax, and Texas has none

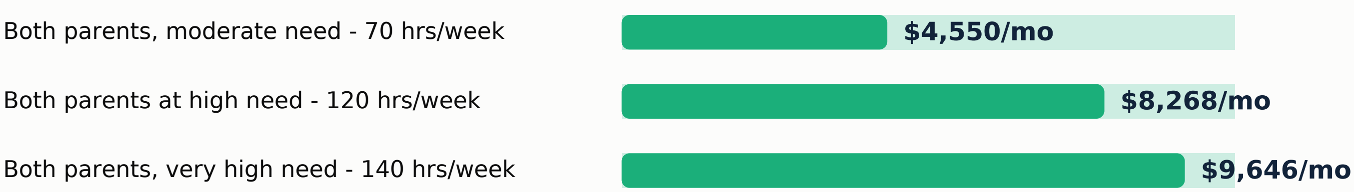
WHO PAYS
Medicaid, through a payroll agency

HOURS
What the assessment authorizes

WHY DO IT
Her pay stops draining the estate entirely

CAREFUL
She must live in the home for tax-free treatment, and never be named "Designated Representative"

What the household can earn once Medicaid is paying



Gross, before the 7.65% Social Security and Medicare withholding. Hours are whatever the assessment supports, split between her and her husband.

HHSC rate schedules effective September 1, 2025; IRS Notice 2014-7; MEPD I-4130, I-4140, I-4160.

The next 30 days

In order. The first one unlocks the rest - and nothing should be sold, moved, gifted or signed before it.

1 Hire a Texas elder law attorney

Not a general practitioner. Texas NAELA directory at naela.org, or the State Bar referral line at 800-252-9690. Free orientation for anyone 60+: the Legal Hotline for Texans, 800-622-2520, option 3. Bring this packet with you.

2 Put BOTH parents on the waiting list

Call 844-438-5658 or use the "Find Support Services" referral at YourTexasBenefits.com. It costs nothing, commits them to nothing, and the request date holds their place. Do this today - it is the one step with no downside.

3 Record the deed on the homestead

A Lady Bird or Transfer on Death deed moves the house outside probate - which is the only place Texas can recover from - with no waiting period at all. Both owners sign. It must be recorded before death or it is void.

4 Sign the papers while both are clearly competent

Durable power of attorney with express Medicaid-planning powers, medical power of attorney, HIPAA release, directive to physicians. Free Texas forms at TexasLawHelp.org. If capacity slips first, the whole plan gets harder and more expensive.

5 Move in, and start documenting on day one

The two-year caregiver clock starts the day their daughter moves in - but only if it can be proved later. A dated log of care, a doctor's letter about what would happen without her, and her pay stubs from the job she is leaving.

6 Start the remodeling

Ramps, a roll-in shower, wider doors, better lighting, a ground-floor bedroom. Unlimited, no waiting period, and it makes her job safer and their lives better from the first week. Keep every invoice.

The sentence to remember at any hospital

"We want a Medicaid nursing facility stay with a Money Follows the Person transition home."

Said to the discharge planner at the right moment, it can save a year of waiting - and it is the same event the caregiver child exception needs.